GMS WEEKLY

Your Source for Recycling News

February 24th, 2023
Volume 247, Issue 1071
Week 8

Highlights:

- **Bangla flies.**
- **Over 600.**
- **India bubbling.**
- **L/C magic.**
- **Pakistan inert.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"Live your beliefs and you can turn the world around."

– Henry David Thoreau

MARKET COMMENTARY

IMPRESSING!

It is the Bangladeshi market that has been impressing everybody of late (and for yet another week) with a lot of pent-up demand being realized and even news of some choice purchases at decent numbers on units that have managed to receive L/C approvals.

Indeed, we have once again seen levels over USD 600/LDT in Bangladesh for the first time since the same time last year, and competing markets are increasingly struggling to keep up.

India has been trying its best too and has managed to secure a number of HKC green sales this year, but there is no competing with a rampant Chattogram market when they start to fire up, and it is now a case of ensuring L/Cs are in order before committing vessels at decent levels once again.

Of course, not every buyer is able to secure the requisite financing to open L/Cs, especially those that have to go through government/ state banks and are not able to transact government-controlled U.S. Dollar reserves on vessels for recycling.

Therefore, through private financing channels or with usance L/Cs, end buyers in Bangladesh are finding ways to secure much needed tonnage, with yards having virtually emptied over the last 6 - 8 months as the current L/C crisis rumbles on and markets declined from the peaks of over USD 700/LDT seen last year.

Pakistan regrettably remains sidelined for yet another week, neither competitive on price nor are local buyers able to come up with appropriate L/C financing to import vessels for the time being, resulting in a port report that has not welcomed any fresh tonnage for the last two weeks.

Finally, the Turkish market continues to firm up as both import and steel plate prices registered improvements this week, vessel prices climb another USD 20/Ton, and private sales have reportedly registered into this market.

For week 8 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Positive	570 / LDT*	590 / LDT*	610 / LDT*
2	India	Positive	550 / LDT	560 / LDT	580 / LDT
3	Pakistan	Weak	525 / LDT*	535 / LDT*	545 / LDT*
4	Turkey	Positive	330 / LDT	340 / LDT	350 / LDT

**Subject L/C approval*

BANGLADESH

SOARING BACK!

Story of past weeks.

The story over the last few weeks has revolved around the stunning Bangladeshi resurgence, securing several impressive sales over USD 600/LDT, and finding ways to open L/Cs and import vessels once again.

The ongoing IMF loan discussions are expected to bring in about USD 2 - 3 billion of foreign capital into the country, but these discussions have yet to be concluded and as such, end buyers have been busy finding alternate means of financing and have apparently been successful on select vessels through non-governmental banks.

Container sold.

On the local fundamentals front, local steel plate prices flatlined through the week once again, whilst the Taka breached past BDT 106.50 against the U.S. Dollar this week – all while sales and deliveries continues at pace into Bangladesh.

Finally, another sale managed to rack up this week, with a likely resale into Bangladesh, as the smaller 1984 built Tanto of Indonesia controlled container TANTO SENTOSA (2,726 LDT) managed to fetch a rather healthy USD 490/LT LDT basis an 'as is' Malaysia delivery – especially considering the smaller size of the vessel.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
TANTO SENTOSA	Container	2,726	USD 490/LT LDT ('as is' Malaysia)

INDIA

DUTY EXEMPTIONS!

Despite the firm performance of the Alang market for a majority of this year, local buyers have been struggling to keep up with the recently strong showing emanating from Bangladesh over these past few weeks and have lost several choice / quality units as a result.

Unable to compete.

There was however a boon for Indian buyers this week as news that customs duty and GST leviable on vessels for recycling, amounting to 2.5% on the value of imported vessel will be exempted.

Useful tax boon.

While this should see prices push on in the coming weeks, just how competitive Indian buyers will be as compared to a rampant Bangladesh remains to be seen, especially while fundamentals remained relatively steady through the course of this week.

NO MARKET SALES REPORTED

PAKISTAN

EXCLUDED!

Not workable.

Gadani recyclers have largely been excluded from the buying and offerings for most of this year, whilst they remain suspended without being to establish workable L/Cs, all while prices remain far from being competitive with their sub-continent neighbors.

Indeed, with Bangladesh pushing on so far on, Pakistan could find themselves almost USD 100/LDT off the pace, if and when they eventually get back to any sort of sensible / performance on the buying!

Little point.

As it stands however, state banks are unwilling and unable to sanction fresh U.S. Dollar L/Cs, so there remains a moot point of discussing new vessels into Gadani, regardless of the continued uncompetitive pricing.

There maybe some hope on the frontline however as the PKR continues to firm, dropping just below the PKR 260 market against the U.S. Dollar, all while domestic steel plate prices (like the Bangladeshi market) flatlined for all of the week.

NO MARKET SALES REPORTED

TURKEY

SPRING JUMP?

The Turkish market has reportedly jumped once again this week, as both import and steel plate prices registered improvements. The TRY also continues to trade around the 18.8X mark and there have even been rumours of local fixtures this week into Turkey.

Steel up, prices up.

Of course, the momentum of positivity continues as the local market remains eager to take on fresh tonnage (especially after almost a year on the absolute side-lines), as local levels also jumped by about USD 20/MT.

As most deals being concluded are direct to end buyers, hence there is not much market talk on prospective units, however, we should have further news once the units arrive locally.

Rumoured local fixtures.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *The inventor of the Internet regrets the URL setup. Tim Berners-Lee, who created the main software of the World Wide Web, admitted he regrets one thing: Adding "//" after "https:" in a web address. It was standard for programming but didn't serve any real purpose, and when looking back in 2009, he said leaving it out would have saved time and space.*
- *The Statue of Liberty used to be a lighthouse. About a month after the statue's 1886 dedication, it became a working lighthouse for 16 years, with its torch visible from 24 miles away.*
- *Strawberries aren't berries. Neither are raspberries and blackberries, according to botanists. True berries stem from one single-ovary flower and have two or more seeds. Strawberries don't fit that bill, but bananas, kiwis, and watermelon do.*
- *The U.S. treasury once printed $100,000 bills. Between December 18, 1934, and January 9, 1935, the notes with Woodrow Wilson's face were issued to Federal Reserve Banks but never went out to the general public—which is probably for the best.*
- *A flock of ravens is called an "unkindness". They're also known as a "conspiracy," which is equally creepy.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
March 08 - Holi March 30 – Ram Navami	March 07 – March 13 March 19 – Mar h 26

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
March 08 – Shab-e-Barat March 17 – Birth of the Father of the Nation March 26 – Independence and National Day	March 09 – March 12 March 21 – March 24

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in February & March	March 08 – Holi March 23 – Pakistan Day	**No Holidays in February & March**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of February 24, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Evgeniy Zotov*	*734*	*Reefer*	*Beached February 19*
2	*Gas Spirit 1*	*20,807*	*LPG*	*Beached February 17*
3	Kochi Express	8,362	Container	Arrived February 20
4	*Long*	*5,701*	*Fishing Vessel*	*Beached February 19*
5	*MSC Floriana*	*8,800*	*Fishing Vessel*	*Beached February 20*
6	Sas 1	2,113	Supply Vessel	Arrived February 19
7	*Wan Chai 5*	*6,998*	*Container*	*Beached February 23*
Total Tonnage		**53,515**		

CHATTOGRAM - Port Position as of February 24, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Bali*	*9,796*	*Container*	*Beached February 24*
2	BNS Agradoot	215	Navy Vessel	Arrived February 22
3	BNS Tista	149	Patrol Boat	Arrived February 19
4	*Hang Jun 12*	*1,825*	*Hopper Dredger*	*Beached February 18*
5	*Konpira 2*	*3,489*	*RoRo*	*Beached February 20*
6	*Rio Balsas*	*17,029*	*Bulk Carrier*	*Beached February 24*
7	Sea Win	7,488	Bulk Carrier	Arrived February 14
8	Yang 07	2,598	Sand Carrier	Arrived February 20
Total Tonnage		**42,589**		

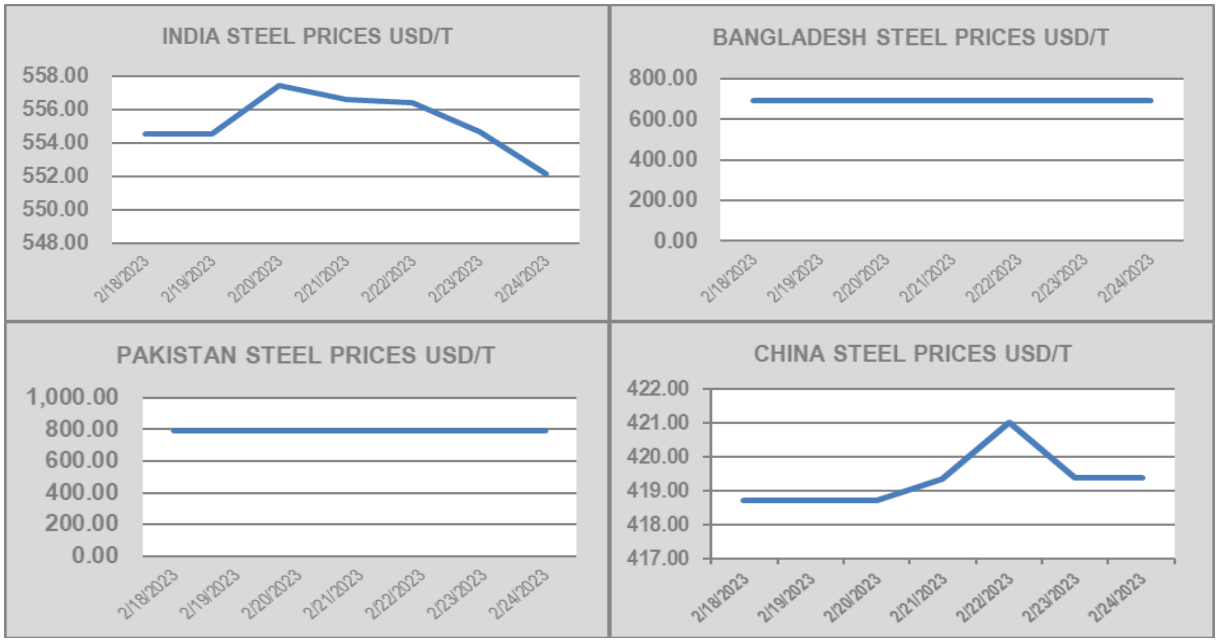
GADANI - Port Position as of February 24, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/18/2023	554.55	45,900.00	792.73	218,000.00	694.17	71,500.00	418.74
2/19/2023	554.55	45,900.00	792.73	218,000.00	694.17	71,500.00	418.74
2/20/2023	557.44	46,100.00	792.73	218,000.00	694.17	71,500.00	418.74
2/21/2023	556.63	46,100.00	792.73	218,000.00	694.17	71,500.00	419.36
2/22/2023	556.43	46,100.00	792.73	218,000.00	694.17	71,500.00	421.04
2/23/2023	554.68	45,900.00	792.73	218,000.00	694.17	71,500.00	419.40
2/24/2023	552.13	45,700.00	792.73	218,000.00	694.17	71,500.00	419.40



www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311